Great diversification. Due to the variety of asset classes across a 3-fund portfolio, there's a high level of diversification, which means a lower level of risk and a high chance of your being able to achieve your investment goals when you leverage this investing strategy.

Low cost. The expense ratios associated to index funds and ETFs are typically the lowest across the various investment types, including actively managed mutual funds. Because the fees are low, you'll have more money to invest and in turn more money that has the opportunity to grow, as opposed to paying high fees, which over time can have a massive effect on the returns in your portfolio.

Easy to manage. Because this strategy has only three funds, it's easy to manage any changes you need to make (e.g. making contributions or withdrawals, updating beneficiaries, tax planning, etc.) and also easy to rebalance your portfolio based on your ideal asset allocation as you achieve your investment goals.

No advisor or fund manager risk. When it comes to this strategy you typically don't need a financial advisor, as you're managing your own investments. This means you can save more money and can avoid any conflict-of-interest issues. You can also avoid any issues with fund managers trying to outperform the stock market or making poor investment decisions that you are not aware of.

Better than average performance. History has shown that over the long term, index funds outperform actively managed funds. This is because index funds simply follow index benchmarks to track the performance of the stock market (or a particular sector), whereas actively managed funds are focused on earning higher returns for their investors by outperforming the market, which does not often happen.[4]

Given these benefits, the next thing you probably want to know is how you can go about structuring a 3-fund portfolio, or in other words, how you should determine your asset allocation. Well, there are a number of ways to do this.

As mentioned earlier, the 3-fund portfolio consists of index funds invested in U.S. stocks, U.S. bonds, and international stocks. If you are early on in your investing journey, you have the opportunity of time to take on more